
Cambridge Assessment
International Education

Question	Answer	Marks
1(a)	Sinita Sales ledger control account	**10**

2020		$		2020		$	
Aug 1	Balance b/d	38 440		Aug 1	Balance b/d	105	
31	Bank (dis. Chq.)	88	**(1)**	31	Contra	315	**(1)**
	Interest	125	**(1)**		Irrecoverable debts	460	**(1)**
	Sales	26 845	**(1)**		Discount allowed	692	**(1)**
	Balance c/d	148			Bank	30 121	**(1)**
					Returns inwards	763	**(1)**
					Balance c/d	33 190	
		65 646				65 646	
2020				2020			
Sep 1	Balance b/d	33 190	**(1)OF**	Sep 1	Balance b/d	148	**(1)**

1(b)	Assist in the location of errors Provide an instant total of trade receivables Prove the arithmetical accuracy of the sales ledger Enable a statement of financial position to be prepared quickly Provide a summary of transactions relating to trade receivables Help reduce fraud **Max (1)**	**1**

Question	Answer	Marks
1(c)	Sinita Bank Reconciliation Statement at 31 August 2020 Balance in cash book 6 416 Cheques not yet presented 9 825 **(1)** 16 241 Amounts not yet credited 2 460 **(1)** Bank error 250 **(1)** 2 710 Balance on bank statement 13 531 **(1)** **Alternative presentation** Balance on bank statement 13 531 **(1)** Amounts not yet credited 2 460 **(1)** Bank error 250 **(1)** 2 710 16 241 Cheques not yet presented 9 825 **(1)** Balance in cash book 6 416	**4**

Question	Answer	Marks
1(d)	**Advantages of reconciling after 1 month** Enables errors in the cash book to be identified earlier **(1)** Enables errors on the bank statement to be identified earlier **(1)** Errors are easier to identify **(1)** Enables missing entries in the cash book to be identified earlier **(1)** Enables out-of-date cheques to be identified earlier **(1)** Enables balance on bank account to be reviewed regularly **(1)** Acts as a deterrent to fraud **(1)** **Accept other valid responses** **Max (2)** **Disadvantages of reconciling after 1 month** May take comparatively more time **(1)** More transactions to record **(1)** May be more costly **(1)** Cash book is updated regularly from a bank statement less need for a reconciliation statement **(1)** **Accept other valid responses** **Max (2)** **Recommendation (1)**	**5**

Question	Answer	Marks
1(d)	**Advantages of reconciling after 3 months** May take comparatively less time **(1)** Less transactions to record **(1)** May be less costly **(1)** Cash book is updated less frequently from a bank statement **(1)** **Accept other valid responses** **Max (2)** **Disadvantages of reconciling after 3 months** Errors in the cash book are identified later **(1)** Errors on the bank statement are identified later **(1)** Errors may be more difficult to identify **(1)** Missing entries in the cash book will be identified later **(1)** Out-of-date cheques are identified later **(1)** Balance on bank account are reviewed less frequently **(1)** Acts less as a deterrent to fraud **(1)** **Accept other valid responses** **Max (2)** **Recommendation (1)**	

Question	Answer	Marks
2(a)	Huan	**11**

Date	Details		Dis Alld	Cash	Bank	Date	Details		Dis recd	Cash	Bank
2020			$	$	$	2020			$	$	$
Sep 1	Balance b/d			80		Sep 1	Balance b/d				630
3	Sales	**(1)**		458		2	Motor repairs	**(1)**		35	
4	Cash c	**(1)OF**			453	4	Bank	**(1)**		453	
5	Alisha	**(1)**			1 280	5	Lucia	**(1)**	21		819
						6	Cao (dis chq)	**(1)**			200
						7	Balance c/d			50	84
				538	1 733				21	538	1 733
									(1)OF		
2020											
Sep 8	Balance b/d			50	**(1)** 84	**(1)OF**					

(1) Dates

2(b)	Debit note **(1)**	**1**

Question	Answer	Marks
2(c)		8

	Effect on working capital	Reason
Sell surplus non-current assets	Increase **(1)**	Bank increases so current assets increase **(1)** No change to current liabilities
Obtain a short-term bank loan	No effect **(1)**	Bank increases so current assets increase **(1)** Current liabilities increase by same amount
Reduce credit sales and increase cash sales by the same amount	No effect **(1)**	Trade receivables decrease and cash increases by the same amount so no change in current assets **(1)** No change to current liabilities
Create a provision for doubtful debts	Decrease **(1)**	Trade receivables decrease so current assets decrease **(1)** No change to current liabilities

Question	Answer					Marks
3(a)	Naomi Manufacturing Account for the year ended 30 September 2020					**14**
		$		$		
	Cost of materials consumed					
	Purchases	42 100				
	Closing inventory of raw materials	11 200		30 900	**(1)**	
	Direct factory wages (46 220 **(1)** + 480**(1)**)			46 700		
	Royalties			3 900	**(1)**	
	Prime Cost			81 500	**(1)OF**	
	Factory overheads					
	Indirect factory wages	15 940	**(1)**			
	Factory general expenses	8 620				
	Factory rent and rates					
	$\left(\left(8400\,(\mathbf{1}) - 600\,(\mathbf{1})\right) \times \frac{2}{3}\,(\mathbf{1})\right)$	5 200				
	Depreciation factory machinery (15% × 80 000)	12 000	**(1)**			
	Depreciation loose tools (800 – 670)	130	**(1)**	41 890		
				123 390	**(1)OF**	
	Closing work in progress			1 680	**(1)**	
	Cost of production			121 710	**(1)OF**	

Question	Answer	Marks
3(b)		6

	Increase profit for the year		Decrease profit for the year		Total change in profit for the year	
	$		$		$	
Annual wages of factory workers would decrease by $3000	*3000*					
Machinery repairs, $1100, included in factory general expense would decrease by 60%	660	**(1)**				
Cost of raw materials used would decrease by 10%	3090	**(1)OF**				
The total cost of the new machinery would be financed by a loan on which annual interest of 4% would be charged			4000	**(1)**		
The new machinery would be depreciated in equal instalments over 8 years			* 500			
	6750		4500			
Total change in profit					2250	**(1)OF**

		$	
* Calculation of depreciation	Depreciation of existing machinery	12 000	**OF**
	Depreciation of new machinery 100 000/8	12 500	**(1)**
		500	**(1)OF**

Question	Answer	Marks
4(a)	Aaron and Sami Income Statement for the year ended 31 August 2020 $ $ Revenue 240 560 Less Sales returns 2 100 238 460 **(1)** Cost of sales Opening inventory 36 500 Purchases 129 270 Carriage inwards 1 240 167 010 **(1)** Less Closing inventory 42 750 **(1)** 124 260 **(1)** Gross profit 114 200 **(1)OF** Less Expenses Administrative expenses 61 040 **(1)** Rent payable (23 680 **(1)** – 5 920 **(1)**) 17 760 Depreciation Fixtures and fittings (10% × (86 600 – 51 200) 3 540 **(1)** 82 340 Profit from operations 31 860 Loan interest (5% × 2 000) 100 **(1)** Bank interest (675 **(1)** + 225 **(1)**) 900 1 000 Profit for the year 30 860 **(1)OF**	**13**
4(b)	Payments to suppliers reduced OR improve liquidity/working capital **(1)** May be more wastage/faulty goods/poor quality goods **(1)** Customers may be dissatisfied/sales may fall/may be more sales returns **(1)** Gross profit may fall because of increased wastage/reduced selling price/fall in sales **(1)** Gross profit may increase because of lower cost of sales/purchases **(1)** **Accept other valid responses** **Max (2)**	**2**

Question	Answer	Marks
4(c)	**Advantages** Reduction in interest costs resulting in increased profits **(1)** Higher interest on capital received **(1)** May Increase the share of profits for partners **(1)** Reduces any claim the bank may have on business assets **(1)** **Accept other valid responses** **Max (2)** **Disadvantages** More personal funds at risk **(1)** May not have sufficient personal funds available **(1)** May cause conflict between Aaron and Sami / may require partnership agreement to be re-negotiated **(1)** Interest on capital may be lower than alternative investments **(1)** **Accept other valid responses** **Max (2)** **Recommendation (1)**	**5**
5(a)(i)	$ $ Retained earnings 1 September 2019 12 000 Profit for the year 12 600 24 600 **(1)** Less Transfer to general reserve 3 000 Interim dividend paid 6 000 9 000 **(1)** Retained earnings at 31 August 2020 15 600 **(1)OF** **Accept alternative forms of presentation**	**3**

Question	Answer	Marks
5(a)(ii)	$ Issued share capital 120 000 General reserve (8000 + 3000) 11 000 **(1)** Retained earnings 15 600 **OF** 146 600 **(1)OF**	**2**
5(b)	Share capital is permanent capital **(1)**: loan capital must be repaid **(1)** Shareholders are paid dividends **(1)**: lenders are paid interest **(1)** Shareholders have voting rights **(1)**: lenders do not have voting rights **(1)** In a winding up share capital is repaid after loan capital **(1)**: loan capital is repaid before share capital **(1)** **Accept other valid responses** **Must be two contrasting statements** **Max (2)**	**2**
5(c)	Preference shareholders receive fixed rates of dividend **(1)**: ordinary shareholders receive variable rates of dividend **(1)** Preference shareholders receive dividends before ordinary shareholders **(1)**: ordinary shareholders receive dividends (if any) last **(1)** Preference shareholders do not usually have voting rights **(1)**: ordinary shareholders have voting rights **(1)** In a winding up preference shareholders are repaid before ordinary shareholders **(1)**: in a winding up ordinary shareholders are repaid last **(1)** **Accept other valid responses** **Must be two contrasting statements** **Max (2)**	**2**
5(d)	Interest payments may reduce dividends **(1)** Debenture holders are repaid before ordinary shareholders in a winding up **(1)** Debenture interest is paid before ordinary share dividends **(1)** **Accept other valid responses** **Max (2)**	**2**

Question	Answer	Marks
5(e)	Offer cash discount for early settlement/prompt payment **(1)** Charge interest on overdue accounts **(1)** Improve credit control/send invoices or statements promptly **(1)** Refuse further supplies until outstanding balance paid **(1)** Invoice discounting and factoring **(1)** **Accept other valid responses** **Max (2)**	**2**
5(f)	Reduce inventory levels **(1)** Increase sales activity **(1)** Change sales mix **(1)** **Accept other valid responses** **Max (2)**	**2**
5(g)	**Advantages** Reduces the cost of purchases/goods **(1)** Increases profit **(1)** Maintain good supplier relationships **(1)** Avoids any interest charges for late payment **(1)** **Accept other valid responses** **Max (2)** **Disadvantages** Reduces liquidity/cash payable immediately **(1)** Depends on cash availability **(1)** Increase in administration costs **(1)** **Accept other valid responses** **Max (2)** **Recommendation (1)**	**5**